General Assembly

Raised Bill No. 515

February Session, 2026

LCO No. **3381**

Referred to Committee on FINANCE, REVENUE AND BONDING

Introduced by:
(FIN)

AN ACT CONCERNING THE CONNECTICUT WORKFORCE AND A PRODUCTIVITY GAP SURCHARGE.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

Section 1. (*Effective from passage*) (a) As used in this section:

(1) "Augmented productivity" means the portion of gross revenue that exceeds an employer's three-year historical average, provided such increase is achieved through the integration of collaborative technology while maintaining a stable workforce;

(2) "Collaborative technology" means any hardware, software or algorithmic system, including artificial intelligence, designed to be operated by or to assist an employee in the performance of such employee's duties, where the technology serves as a multiplier of the employee's individual productivity rather than as a stand-alone replacement of the employee;

(3) "Productivity gap" means the measurable increase in revenue-per-employee hours that occurs when Connecticut payroll is reduced

materially while gross revenue remains stable or increases; and

(4) "Stable workforce" means a Connecticut-domiciled workforce where the total headcount and aggregate payroll expenses for such workforce remain at or above ninety-five per cent of the three-year historical average of the employer.

(b) (1) Not later than January 1, 2027, the Secretary of the Office of Policy and Management shall, in consultation with the Commissioner of Revenue Services, the Labor Commissioner and the Chief Workforce Officer, submit an implementation plan to the General Assembly, in accordance with the provisions of section 11-4a of the general statutes, to ensure that technological advancements serve to augment worker capability rather than render it obsolete and productivity gains lead to a more skilled workforce, by establishing (A) a mechanism to reinvest capital when business output and labor costs become materially decoupled, (B) steps to be actively taken by the state to minimize such decoupling by fostering collaborative productivity models that increase output without a corresponding decline in the workforce, and (C) a workforce and productivity gap contribution from employers.

(2) The workforce and productivity gap contribution plan shall include:

(A) A formula for a surcharge to be assessed annually for each income or taxable year in which an employer maintains a productivity gap. Such surcharge shall reflect the financial delta between an employer's baseline productivity levels and its reduced payroll expenses for the applicable income or taxable year, and shall be structured to ensure that efficiency gains realized through the displacement of employees are recaptured by the state on an ongoing basis to mitigate the resulting economic impact;

(B) An augmented productivity tax exemption that ensures that any augmented productivity achieved by an employer is permanently exempt from taxation by the state;

(C) Administrative procedures for the reporting and collection of such surcharge, based on Connecticut-specific payroll and tax data; and

(D) The establishment of a workforce and economic stability account, in which the surcharges collected shall be deposited and shall be used exclusively for the purposes of workforce retraining, technical education and career transition programs for displaced employees.

(c) If the General Assembly does not enact, prior to July 1, 2027, the implementation plan submitted pursuant to subsection (b) of this section, notwithstanding the provisions of sections 4-168 to 4-172, inclusive, of the general statutes, the Secretary of the Office of Policy and Management shall issue policies and procedures to implement the provisions of such plan. The secretary shall post such policies and procedures on said office's Internet web site and submit such policies and procedures to the Secretary of the State for posting on the eRegulations System, at least fifteen days prior to the effective date of such policies and procedures. Any such policies and procedures shall no longer be effective upon the adoption of such policy or procedure as a final regulation in accordance with the provisions of chapter 54 of the general statutes.

This act shall take effect as follows and shall amend the following sections:		
Section 1	*from passage*	New section

FIN *Joint Favorable*